EY–Dahua: Audit Outcomes

	Unwarned any failure	Unwarned restatement	Unwarned violation
First stage: Big4 adoption	0.381***	0.381***	0.381***
	(0.058)	(0.058)	(0.058)
p	< 0.001	< 0.001	< 0.001
Reduced form / DID	-0.017	-0.008	-0.008
	(0.020)	(0.019)	(0.010)
p	0.401	0.659	0.390
2SLS: Big4 effect	-0.044	-0.022	-0.022
	(0.054)	(0.049)	(0.026)
p	0.406	0.660	0.392
KP first-stage F	42.56	42.56	42.56
Observations	9,769	9,769	9,769
Firm clusters	1,102	1,102	1,102
Baseline exposed clients	46	46	46
Pretrend joint p	0.022	0.092	0.232

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.